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Greater China Technology Hardware | Asia Pacific

NVL72 Racks Shipment in October 2026; 2027 Rack Forecast is Unchanged

We provide monthly/quarterly rack shipment forecasts for ODMs. Within the major Server ODMs, our order of preference is Wistron > Quanta > Hon Hai, based on upside to PT.

Key Takeaways

- We estimate GB200/300 rack output in October at ~7.5K (+16% m/m).
- Quanta shipped ~1.80K GB200/GB300 racks.
- Wistron shipped ~1.60K GB200/GB300 racks.
- Hon Hai shipped ~2.90K GB200/300 racks.
- We keep our 2027 rack production forecast unchanged at 90.4K racks (+11% y/y).

We introduce 2027 forecast at 90.4K racks (+10% y/y) vs. our 2026 forecast now at 82K racks: This year is a strong one for downstream rack assemblers, with rack shipments up ~209% y/y, but we expect rack shipments to grow another ~10% y/y to reach 90.4K in 2027. For 2027, our forecast implies Hon Hai will be a share gainer with rack share up to 43% (from 37% in 2026), with Quanta staying unchanged at 26% and Wistron's share up slightly to 24% (from 23% in 2026).

Quanta (2382.TW, OW): October revenue was NT$353.3bn (+9% m/m, +104% y/y). We attribute the m/m growth mainly to higher GB200/300 rack shipments at ~1.8K racks (+24% m/m), despite being offset by lower NB shipments at 2.7M units (-36% m/m, -23% y/y). For 2026, we forecast Quanta to ship 20.9K racks, and our 2027 rack production forecast for Quanta is at 23.5K (+12% y/y).

Wistron (3231.TW, OW): October revenue was NT$402.6B (+6% m/m, +108% y/y). We attribute the m/m growth to: 1) higher GB200/300 compute tray shipments (1.60K rack equivalents, by our estimates, up ~22% m/m), despite lower Wiwynn revenue at ~NT$165.1bn (-4% m/m, +81% y/y) and lower NB shipments at 1.2mn units (-20% m/m, -43% y/y), flat DT shipments at 500K (flat m/m, -44% y/y), and lower monitor shipments at 850K (-11% m/m, -6% y/y). For 2026, we forecast Wistron to ship 18.7K racks, and our 2027 rack production forecast is at 22K (+18% y/y).

Hon Hai (2317.TW, OW): October revenue was NT$1,305.3bn (+13% m/m, +46% y/y), with consumer segment revenue seeing the strongest m/m growth, followed by computing products, and lastly, components and other products, while cloud and networking products were down m/m due to a rise in consignment mix; however, overall rack production volumes are up m/m. We model HH's October GB200/300 rack production at 2.9K (+7% m/m). For 2026, we forecast Foxconn to ship 30.3K racks, and our rack production 2027 forecast at 38.8K (+28% y/y).

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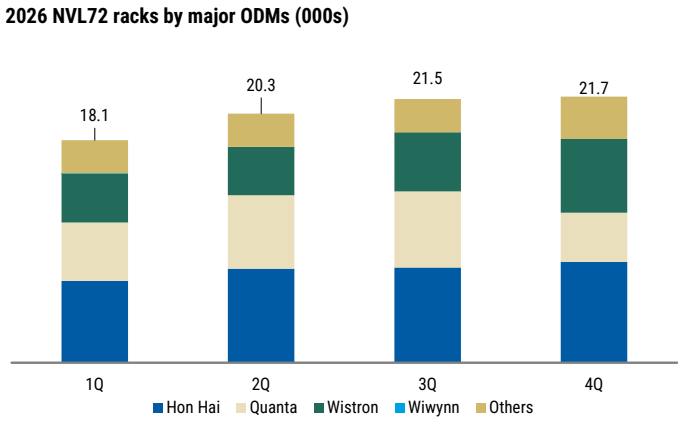
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NVL72 Exhibits

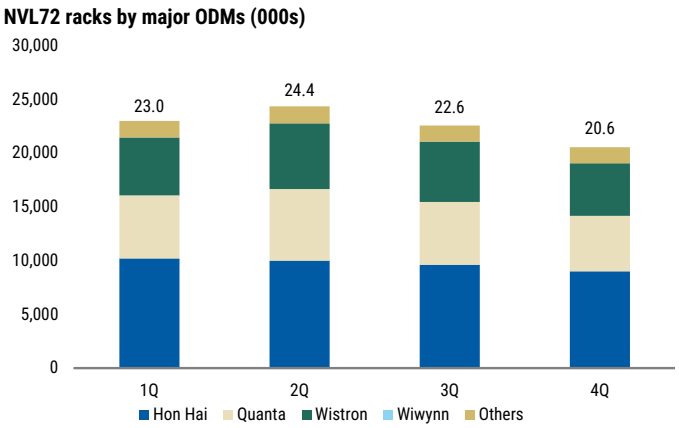
We believe actual rack deliveries to end-customers are likely lower than these numbers because we include Wistron's computing tray (L10) rack equivalent (without accounting for rack assembly and test times for L11).

Exhibit 1: Industry-wide NVL72-equivalent quarterly rack output, by major ODMs (2026)



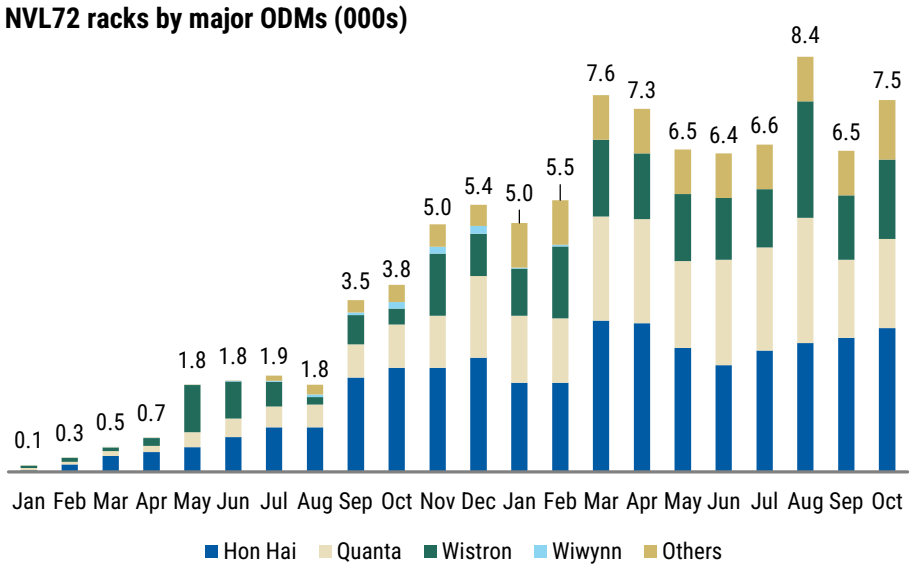
Source: Morgan Stanley Research estimates.

Exhibit 2: Industry-wide NVL72-equivalent quarterly rack output, by major ODMs (2027)



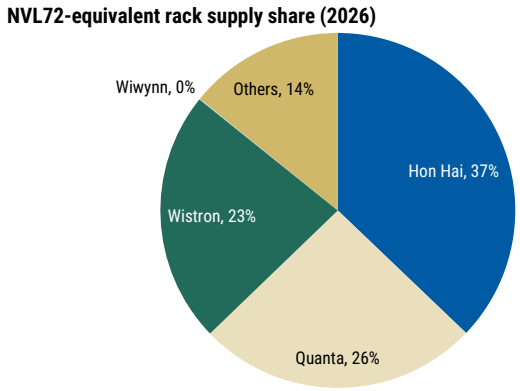
Source: Morgan Stanley Research estimates.

Exhibit 3:
Industry-wide NVL72-equivalent monthly rack output, by major ODMs (2025-2026)



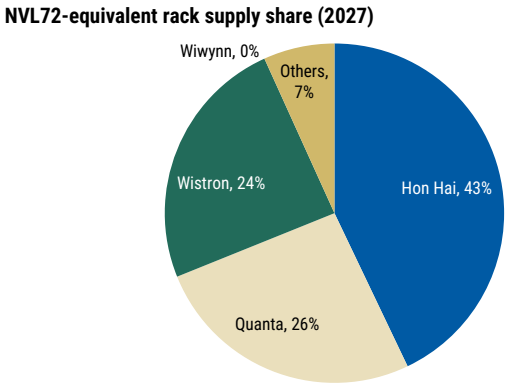
Source: Morgan Stanley Research estimates.

Exhibit 4: NVL72 rack supply share, by major ODMs (2026)



Source: Morgan Stanley Research estimates.

Exhibit 5: NVL72 rack supply share, by major ODMs (2027)



Source: Morgan Stanley Research estimates.

Valuation Methodology and Risks

Hon Hai Precision (2317.TW)

Base case scenario value, derived from a residual income valuation model. Our key assumptions include a cost of equity of 8.5%, a medium-term growth rate of 13%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected iPhone sell-through
- Faster progress in AI server business
- Faster EV business development progress
- Any new M&A activity that could improve sentiment

Risks to Downside

- Lower iPhone sell-through
- Smaller profit contribution from AI business
- Slower EV business development progress
- Geopolitical developments that could negatively affect foreign investment

Quanta Computer Inc. (2382.TW)

Base case, residual income model. Key assumptions include a cost of equity of 9.0% (beta of 1.2, equity premium of 6.0% and risk-free rate of 1.5%), an 8.5% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Stronger-than-expected NB demand
- Stronger-than-expected Apple Watch demand
- Stronger-than-expected server demand
- Faster-than-expected AI server penetration

Risks to Downside

- Weaker-than-expected NB demand
- Softer-than-expected Apple Watch demand
- Weak margin performance owing to rising labor costs and sales shortfalls
- Fierce price competition in the mega data center segment
- Slower-than-expected AI server penetration

Wistron Corporation (3231.TW)

Base case, residual income valuation. Key assumptions: 8.7% cost of equity, 7.0% medium-term growth rate and 3% terminal growth rate.

Risks to Upside

- Faster-than-expected divestiture of consumer electronics business
- Stronger-than-expected NB demand

- Margin expansion from better product mix
- Faster-than-expected AI server penetration

Risks to Downside

- Slower-than-expected divestiture of consumer electronics business
- Weaker-than-expected NB demand
- Margin contraction from sales shortfall and fierce competition
- Slower-than-expected AI server penetration

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Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Hon Hai Precision (2317.TW) - As of 11/10/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 11/1/21 : O/I; 1/9/23 : E/I; 3/15/24 : O/I

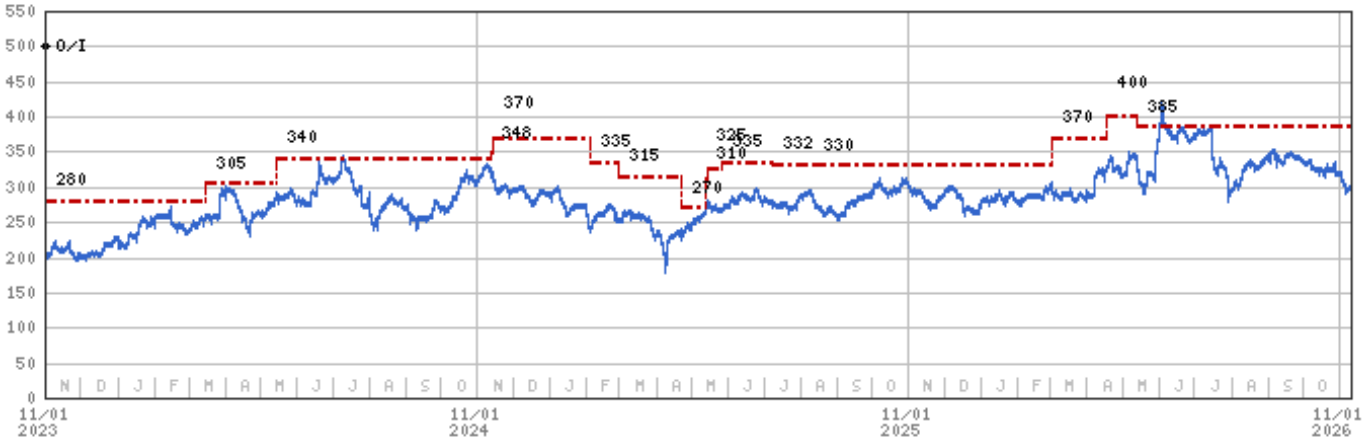
Price Target History: 3/22/21 : 168; 3/8/22 : 145; 1/9/23 : 116; 5/11/23 : 115; 3/15/24 : 155; 5/10/24 : 210; 6/26/24 : 255; 7/15/24 : 270; 2/5/25 : 232; 4/23/25 : 175; 5/14/25 : 200; 8/6/25 : 220; 8/14/25 : 250; 11/12/25 : 317; 3/17/26 : 290; 5/15/26 : 310

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
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Quanta Computer Inc. (2382.TW) - As of 11/10/26 GMT in TWD
Industry : Greater China Technology Hardware



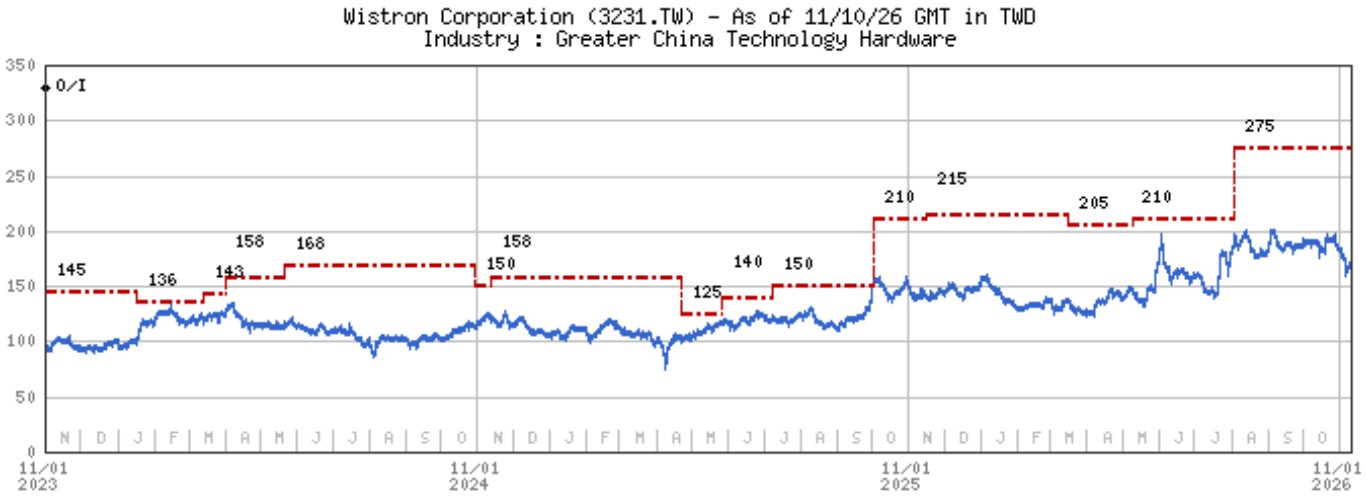
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/10/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$38.54
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb94.48
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.50
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.08
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.36
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb183.80
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$905.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb25.69
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.10
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.83
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$55.20
Largan Precision (3008.TW)	O (10/13/2026)	NT$5,065.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.68
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.23
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.84
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$49.72
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb51.68
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.73
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.35
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb82.10
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$38.38
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb64.80
Sunny Optical (2382.HK)	E (03/23/2026)	HK$66.65

Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb126.41
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb12.04
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$30.60
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb252.33
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$89.70
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb110.98
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.73
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb471.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$594.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.22
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.49
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,545.00
Advantech (2395.TW)	O (01/20/2021)	NT$593.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,060.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,790.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$27.70
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,235.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,530.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.50
Chenbro (8210.TW)	E (11/09/2026)	NT$567.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,310.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,275.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$142.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,990.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$291.50
Innolux (3481.TW)	E (04/07/2025)	NT$39.20
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$8,565.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb29.17
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$233.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.60
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.62
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.15
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$884.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$32.60
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$4,365.00
FIT Hon Teng Ltd (6088.HK)	E (11/09/2026)	HK$2.68
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb43.18
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$304.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$983.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$241.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb55.55
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$28.26
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,115.00
Lenovo (0992.HK)	O (07/10/2026)	HK$19.11
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,760.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,005.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$96.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$298.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb70.93
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb208.20
Unimicron (3037.TW)	O (02/23/2026)	NT$828.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$369.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$171.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,680.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$416.50
Zhen Ding (4958.TW)	++	NT$430.50
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$366.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$982.00

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